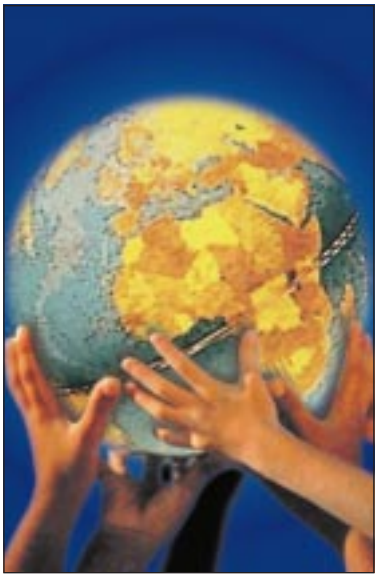
Quarterly Newsletter

December 2000

InTouch Mutually

HDFC MUTUAL FUND



New Launches

- HDFC Tax Plan 2000
- HDFC Children's Gift Fund

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From MD's Desk

Milind Barve

Managing Director

December 30, 2000

Dear Investor,

I take this opportunity to extend a warm welcome to you to the HDFC Mutual Fund family.

HDFC Mutual Fund commenced its business with the launch of three schemes in August 2000. In this IPO we mobilised over Rs.654 crores with over 1 Lakh unit holder accounts. You will be pleased to know that since the Schemes became Open-ended in September, 2000, our total assets under management have grown to Rs. 1,164 crores as on December 30, 2000 i.e. an increase of Rs. 510 crores in a period of just 3 months.

The current year has been a challenging one for Asset Managers. From the bullish trends towards the end of the last financial year, the equity markets have witnessed unprecedented destruction in value for equity investors. Significantly, the IT stocks seem to have borne the brunt of this carnage. Such times as these are probably opportune to investors to evaluate the most appropriate investment style. Value investing, growth buying, momentum playing and others are investment styles, which have all had their days in the sun. These styles at best have worked at different time periods of the market. We simply believe in a conservative approach to investment which is rooted firmly in owning companies which have strong competitive positions, integrity and competence of management, and ability to earn superior returns on capital on a sustainable basis. The aim therefore, is not only to create a portfolio which out-performs in a bull market, but also which is resilient to withstand a downturn. In our equity funds i.e. HDFC Growth Fund and HDFC Balanced Fund, we have remained focused on creating such portfolios for the medium to long term.

In respect of the debt funds i.e. HDFC Income Fund and HDFC Liquid Fund, our aim is to generate consistent above average returns. We understand that investors in income funds are concerned about the consistency of returns and are fundamentally averse to volatility. Debt portfolios, which are of a long duration, are more vulnerable to the interest rate risks. In our debt funds therefore, we have developed a portfolio of low to medium duration in respect of corporate exposures. Government securities being relatively liquid, comprise the long end of the portfolio and at the same time provide us the agility to quickly switch across to low maturity buckets. These strategies are aimed to impart a degree of stability and growth in our Net Asset Values (NAVs).

It has been our constant endeavour to increase our range of schemes to meet the possible investment needs of our customers. To this end we had launched HDFC Liquid Fund on October 17, 2000. This scheme is ideal for parking short-term money and offers high liquidity with a feature of weekly dividend declaration. Recently, we have also launched HDFC TAX PLAN 2000 [an Open-ended Equity Linked Savings Scheme (ELSS)] on December 26, 2000 and closed for subscription on December 27, 2000. The scheme reopens for ongoing sales on January 02, 2001. Going forward, we propose to launch HDFC CHILDREN'S GIFT FUND, an open-ended balanced fund targeted at parents to encourage them to save for the future of their children. We hope that you would take advantage of these new offerings from our stable.

Efficient customer servicing has always been a key priority for us. In addition to existing 21 Investor service centres, we plan to add 3 more centres at Bhubaneshwar, Kanpur and Panjim very soon. Going forward, we also plan to add more centres in the near future in order to facilitate your access to us. In addition to this, we have launched our website: **www.hdfcfund.com** wherein you can access information about us online. We encourage you to subscribe to our **daily NAV broadcast** that would help you keep in touch with NAV movements on a daily basis. We have also made arrangements with Ask Me information services to provide you 24-hrs NAV information over the telephone.

We sincerely urge you to write to us and give us your invaluable suggestions. We thank you for your continued support and trust in choosing us as your investment manager and look forward to a mutually beneficial relationship for a long time to come.

My colleagues in the Mutual Fund join me in wishing you and your family a very **"Happy and Prosperous New Year".**

With warm regards,

Market Review

Equity Market

The year gone by has been a rough ride for equity investors with very few safe havens. Coming off the back of spectacular appreciation in tech stocks in 1999, it is easy to suggest with the benefit of hindsight that Humpty Dumpty may have been a bit unsteady atop his perch. What is particularly galling is that the market did not seem to discriminate between the good, the bad and the ugly. None of the blue chips were spared from the carnage.

In its current mood, Dalal Street seems absolutely certain that the end of the world is near. Yet just a year ago, growth was all the rage. Well-heeled analysts were busy coming up with new metrics to value growth, even though the corresponding cash flows may not have been quite as impressive. In March 2000, the most conservative equity strategist recommended a 30% allocation for tech stocks in a diversified portfolio. Most others were considerably more exuberant. Today, it is difficult to find the man who argues the case for taking a significant bet on high quality IT stocks. So what has gone wrong with the market since?

Is US tech spending about to sputter and collapse? Is the Rabi crop going to fail completely? Is the country headed for serious political ferment? Are the investment "experts" myopic or just plain dumb? In our view, neither. Just human! The real lesson in all of this is that the professionals tend to extrapolate the present situation and apply it to the future. So that brings us back to the question - "Can all the king's horses and all the king's men put Humpty Dumpty together again?"

Looking at the straws in the wind, our perspective is that things are not quite as bad as they seem. The easing of liquidity thanks to the IMD largesse coupled with more moderate industrial growth (5 - 5.5%) have resulted in a benign domestic interest rate environment and a more stable currency. Global oil prices appear to be headed south which must surely be music to the ears of Mr. Yashwant Sinha. Also, the improvement in government finances because of buoyant tax collections and disciplined expenditure control has been a major bonus in 2000. The prospect of Mr. Greenspan trimming interest rates is very good news, both in terms of ensuring a relatively soft (safe!) landing and boosting sentiment.

But this is not to give short shrift to the clouds on the horizon. Industrial growth is relatively anemic while agriculture has taken a bruising hit with the kharif crop being distinctly sub-par. The knock-on effect of the agricultural fiasco led to a major dent in consumer confidence best reflected in the sluggish growth in revenues of FMCG companies. Though foreign currency reserves are at an all time high, this masks a fundamental problem - a continuing inability to attract meaningful amounts via FDI. Despite brave talk of second generation reform and an increased emphasis on privatization, the compulsions of coalition governance loom larger than ever before.

Is there anything of consequence hidden behind the amorphous haze, which clouds our crystal ball? Three non consensus calls seeming to be jumping out at us. **First,** technology fundamentals will resuscitate sooner than expected thanks to Moore's Law. While a large number of tech firms will come under siege, the eventual winners will emerge with larger market shares and superior growth prospects ahead of them. **Second,** necessity is the mother of invention! The sell off in equity markets during the last 9 months clearly has policy makers worried. It would hardly be surprising if the Budget in 2001 had a sack full of goodies for equity investors. **Finally,** while privatization has thus far moved ahead at snail's pace, the present tizzy caused by a sagging equity market may well provide the necessary impetus and lead to a slew of encouraging announcements in Q1 2001.

What does this imply for our existing equity portfolios? Clearly, we need to overcome market sentiment and concentrate on building a solid edifice. Therefore, our efforts extend beyond the "windmills of valuation" and focus on competitive position within the industry, the integrity and competence of management, and the ability of the companies that we own to earn superior returns on capital on a sustainable basis. The ability of our portfolio to withstand a downturn with resilience could be of high order. We take great comfort from the low financial leverage and strong free cash flows that typify our major long-term holdings. Not only does the strong balance sheet get reflected in a premium rating, it also allows these dominant companies to take advantage of weakened competitors.

Analysts are only being human in remembering Nostradamus and forecasting gloom and doom. Our attempt to deliver superior performance to those who have invested in our products is rooted in the strength of the companies that comprise the equity portfolios. There is no doubt that the solid intrinsic value which characterizes our approach - sticking to our belief in cash flow and being patient - may help us in gaining from the additional opportunities presented in a volatile market environment.

Debt Market

With the Mid - Term Review of the Monetary and Credit Policy 2000 - 2001 due in October, the quarter started on a damp note with the RBI restricting the Review to announcements of a few structural changes in the market. However, this could not have possibly given anyone a clue at to what was in store for the markets in the coming months. With the IMD inflows entering the system in November and the fact that the Oil Price hike was rolled back partially in the same month, yields started easing. While frequent new Government Security issues as well as Open Market Sales of existing stock helped the RBI to contain the rally, the trend in the first half of November was clearly towards softer rates. Towards the end of the month the mood turned slightly negative owing to the quantum of fresh issuances and Open Market Operation Sales. However, December saw a continuation of the earlier trend and yields in the medium to long end of the curve dipped. In non-government debt, spreads over Government Securities for the highest rates issuers dipped.

On a more fundamental basis, the market has come a long way from the uncertainty that assailed it in July. The rupee seems to have settled in a range that looks reasonably stable. International Oil prices are down to realistic levels. On the Domestic front, the Government Borrowing Programme as well as the Fiscal Deficit figures are well on track. The only factor that underpins interest rates in the current scenario is headline inflation currently at 8.00% levels. Though at first sight this seems to be horribly high, the largest single contributor to this level is the September hike in administered oil prices. In concert with the fact that current inflation is being measured off extremely low inflationary indicators for the last year, the resultant number is high enough to cause some worry. However, given no fresh inflationary inputs, this could well be substantially lower before the end of the Fiscal Year.

Going forward, due to the reasons mentioned above, yields are expected to ease slightly. Spreads on Non - Government Debt are not expected to narrow further from the current levels. The one major event that may have an impact on yields, favourable or otherwise, would be the size of the Government Borrowing Programme for the next Fiscal Year specified by the Budget.

We continue to maintain a portfolio with a reasonably high average maturity. However, the flexibility to restructure the portfolio at short notice is critical in volatile times. The current portfolio, with it's mix of short tenure Non - Government Debt and Medium to Long Tenure Government Debt fits the bill.

Best wishes for a most rewarding and prosperous New Year.

HDFC Growth Fund

An Open - ended Growth Scheme

Investment Objective

The primary objective of the Scheme is to generate long-term capital appreciation from a portfolio that is invested predominantly in equity and equity related instruments. The approach to investing the assets of the Scheme would emphasise the fundamental strengths intrinsic to a company and its business.

Features of the Scheme

Nature of the Scheme	Open- Ended Growth Scheme
Inception Date (Date of allotment)	September 11, 2000
Entry Load	2% of NAV
Exit Load	Nil
Minimum Investment	Rs. 3000 (Rs. 1000 for existing investors) & in multiples of Rs. 1000 thereafter
Investment Plan Options	Growth & Dividend
NAV	Every Business Day
Liquidity	Sales/Repurchases at NAV based prices on every Business Day.
Redemption proceeds	Despatched normally within 3 Business Days
Tax Benefits	Income distributed is exempt from income tax in the hands of the investors. Units of the Scheme are not subject to Wealth Tax & Gift Tax.

NAVs at a Glance

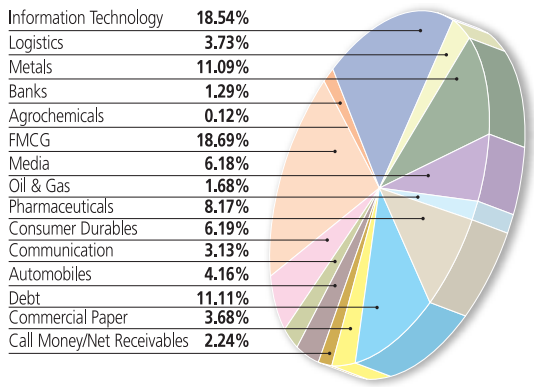
	Sept. 20, 2000	Nov. 30, 2000	Dec. 30, 2000
NAV per unit (Rs.)	9.937	9.747	9.392

Portfolio (as on December 30, 2000)

	Market/Fair Value of Investments (Rs. in Cr.)	As a % of NAV
EQUITY		
Automobiles - 4.16%		
✔ Hero Honda Motors Ltd.	5.62	4.16
Agrochemicals - 0.12%		
Syngenta India Ltd.	0.17	0.12
Banks - 1.29%		
UTI Bank Ltd.	1.74	1.29
Communication - 3.13%		
MRO-TEK Ltd.	4.22	3.13
Consumer Durables - 6.19%		
✔ Asian Paints (India) Ltd.	8.35	6.19
Fast Moving Consumer Goods - 18.69%		
✔ ITC Ltd.	8.96	6.64
✔ Britannia Industries Ltd.	7.02	5.21
Smithkline Beecham Consumer Healthcare Ltd.	4.77	3.54
Marico Industries Ltd.	4.44	3.30
Information Technology - 18.54%		
✔ Infosys Technologies Ltd.	9.68	7.18
✔ NIIT Ltd.	7.96	5.90
HCL Technologies Ltd.	4.04	2.99
Visualsoft Technologies Ltd.	2.15	1.59
Mastek Ltd.	1.19	0.88
Logistics - 3.73%		
Container Corporation of India Ltd.	5.03	3.73
Media - 6.18%		
✔ Zee Telefilms Ltd.	8.33	6.18
Metals - 11.09%		
✔ Hindalco Industries Ltd.	9.60	7.12
Indo Gulf Corporation Ltd.	4.85	3.60
Sterlite Industries Ltd.	0.50	0.37
Oil & Gas - 1.68%		
Reliance Petroleum Ltd.	2.27	1.68
Pharmaceuticals - 8.17%		
✔ Hoechst Marion Roussel Ltd.	5.13	3.80
Novartis India Ltd.	4.38	3.25
Rhone Poulenc India Ltd.	1.51	1.12
Sub total	**111.91**	**82.97**
DEBT		
✔ GE Capital Services India Ltd.	10.00	7.41
ITC Ltd.	5.00	3.70
Sub total	**15.00**	**11.11**
Commercial Paper		
Wheels India Ltd.	4.97	3.68
Sub total	**4.97**	**3.68**
Call Money	**4.96**	**3.68**
Net Receivables/(Payables)	**(1.94)**	**(1.44)**
Total Net Assets	**134.90**	**100.00**

✔ **Top Ten Holdings**

Sectoral Allocation of Assets



HDFC Balanced Fund

An Open - ended Balanced Scheme

Investment Objective

The primary objective of the Scheme is to generate capital appreciation along with current Income from a combined portfolio of equity & equity related instruments and debt & money market instruments.

Features of the Scheme

Nature of the Scheme	Open- Ended Balanced Scheme
Inception Date (Date of allotment)	September 11, 2000
Entry Load	1.5% of NAV
Exit Load	Nil
Minimum Investment	Rs. 3000 (Rs. 1000 for existing investors) & in multiples of Rs. 1000 thereafter
Investment Plan Options	Growth & Dividend
NAV	Every Business Day
Liquidity	Sales/Repurchases at NAV based prices on every Business Day.
Redemption proceeds	Despatched normally within 3 Business Days
Tax Benefits	Income distributed is exempt from income tax in the hands of the investors. Units of the Scheme are not subject to Wealth Tax & Gift Tax.

NAVs at a Glance

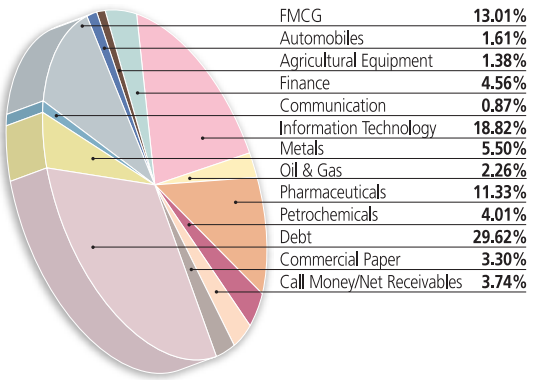
	Sept. 20, 2000	Nov. 30, 2000	Dec. 30, 2000
NAV per unit (Rs.)	9.943	10.013	9.812

Portfolio (as on December 30, 2000)

		Rating	Market/Fair Value of Investments (Rs. in Cr.)	As a % of NAV
	EQUITY			
	Automobiles - 1.61%			
	Hero Honda Motors Ltd.		2.37	1.61
	Agricultural Equipment - 1.38%			
	Punjab Tractors Ltd.		2.04	1.38
	Communication - 0.87%			
	MRO-TEK Ltd.		1.29	0.87
	Fast Moving Consumer Goods - 13.01%			
✔	Britannia Industries Ltd.		5.91	4.00
✔	ITC Ltd.		5.83	3.94
	Nestle India Ltd.		4.39	2.97
	Hindustan Lever Ltd.		3.10	2.10
	Finance - 4.56%			
✔	State Bank of India		6.74	4.56
	Information Technology - 18.82%			
✔	Infosys Technologies Ltd.		8.54	5.78
✔	NIIT Ltd.		7.96	5.39
	HCL Technologies Ltd.		4.31	2.92
	Hughes Software Systems Ltd.		4.02	2.72
	Polaris Software Lab. Ltd.		2.97	2.01
	Metals - 5.50%			
✔	Hindalco Industries Ltd.		8.12	5.49
	Oil & Gas - 2.26%			
	Hindustan Petroleum Corporation Ltd.		3.34	2.26
	Pharmaceuticals - 11.33%			
✔	Cipla Ltd.		6.26	4.24
	Ranbaxy Laboratories Ltd.		5.38	3.64
	Dr. Reddys Laboratories Ltd.		5.10	3.45
	Petrochemicals - 4.01%			
✔	Reliance Industries Ltd.		5.93	4.01
	Sub-total		**93.60**	**63.34**
	DEBT			
✔	Reliance Industries Ltd.	P1+	10.00	6.77
✔	GE Capital Services India Ltd.	AAA	9.99	6.76
	ICICI Ltd.	AAA	5.02	3.40
	Sundaram Finance Ltd.	AAA	5.01	3.39
	ITC Ltd.	P1+	5.00	3.38
	Nestle India Ltd.	AAA	4.71	3.19
	Reliance Capital Ltd.	AA+	4.03	2.73
	Sub-total		**43.76**	**29.62**
	Commercial Paper			
	ACC Ltd.	P1+	4.88	3.30
	Sub-total		**4.88**	**3.30**
	Call Money		**11.37**	**7.69**
	Net Receivables/(Payables)		**(5.84)**	**(3.95)**
	Total Net Assets		**147.77**	**100.00**

✔ **Top Ten Holdings**

Sectoral Allocation of Assets



HDFC Income Fund

An Open - ended Income Scheme

Investment Objective

The primary objective of the Scheme is to optimise returns while maintaining a balance of safety, yield and liquidity. This would be achieved by creating an exposure to quality debt and money market instruments, with a view to maintain risks within moderate limits.

Features of the Scheme

Nature of the Scheme	Open- Ended Income Scheme
Inception Date (Date of allotment)	September 11, 2000
Entry Load	Nil
Exit Load	0.5% if redeemed on or before 6 months from the date of allotment.
Minimum Investment	Rs. 3000 (Rs. 1000 for existing investors) & in multiples of Rs. 1000 thereafter
Investment Plan Options	Growth & Dividend
NAV	Every Business Day
Liquidity	Sales/Repurchases at NAV based prices on every Business Day.
Redemption proceeds	Despatched normally within 3 Business Days
Tax Benefits	Income distributed is exempt from income tax in the hands of the investors. Units of the Scheme are not subject to Wealth Tax & Gift Tax.

NAVs at a Glance

	Sept. 20, 2000	Nov. 30, 2000	Dec. 30, 2000
NAV per unit (Rs.)	10.129	10.336	10.479

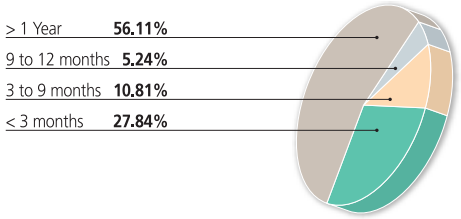
Portfolio (as on December 30, 2000)

	Rating	Market/Fair Value of Investments (Rs. in Cr.)	As a % of NAV
Debentures			
✔ ICICI Ltd.	AAA	52.16	7.60
✔ IDBI Ltd.	AAA	48.58	7.07
✔ GE Capital Services India Ltd.	AAA	30.05	4.38
✔ Mahindra & Mahindra Financial Ser. Ltd.	AA+	26.13	3.80
✔ HUDCO	AA	25.00	3.64
✔ Reliance Industries Ltd.	AAA	21.19	3.08
✔ Sundaram Finance Ltd.	AAA	20.02	2.92
Nestle India Ltd.	AAA	15.70	2.29
Power Finance Corporation Ltd.	AAA	15.22	2.22
Citicorp Finance (India) Ltd.	P1+	15.00	2.18
Ford Credit Kotak Mahindra Ltd.	AA	13.05	1.90
Kotak Mahindra Primus Ltd.	AA	12.10	1.76
Cyrus Investment Ltd.	AAA	10.22	1.49
Ashok Leyland Ltd.	P1+	10.05	1.46
Associates India Financial Services Ltd.	AAA	10.04	1.46
Orix Auto Finance Ltd.	P1+	10.00	1.46
Gujarat Ambuja Cements Ltd.	AAA	10.00	1.46
Gujarat Ambuja Cements Ltd.	AA+	9.48	1.38
Reliance Capital Ltd.	AA+	5.27	0.77
EXIM Bank	AAA	5.16	0.75
Nirma Ltd.	A1+	5.02	0.73
Telco Ltd.	P1+	5.02	0.73
ITC Ltd.	P1+	5.00	0.73
Sub-Total		**379.46**	**55.26**
Government Securities			
✔ 12.32% GOI 2011		21.53	3.14
✔ 12.29% GOI 2010		21.40	3.12
✔ 11.90% GOI 2007		21.18	3.08
11.40% GOI 2008		15.55	2.26
11.30% GOI 2010		15.36	2.24
11.00% GOI 2006		15.30	2.23
11.43% GOI 2015		10.07	1.47
11.03% GOI 2012		9.97	1.45
11.99% GOI 2009		5.31	0.77
12.00% GOI 2008		5.27	0.77
11.10% GOI 2003		5.09	0.74
Sub-Total		**146.03**	**21.27**
Commercial Paper			
Telco Ltd.	P1+	14.75	2.15
Sandvik Asia Ltd.	P1+	14.63	2.13
ICICI Ltd.	P1+	14.62	2.13
Ashok Leyland Ltd.	P1+	14.59	2.12
Tata Tea Ltd.	P1+	9.79	1.42
Godrej & Boyce Mfg. Co. Ltd.	P1+	9.72	1.42
BPL Ltd.	P1+	9.46	1.38
Sun Pharmaceuticals Ind. Ltd.	P1+	4.94	0.72
Mahindra & Mahindra Finance Ltd.	P1+	1.95	0.28
Sub-Total		**94.45**	**13.75**
Call Money		**47.87**	**6.97**
Net Current Assets		**18.89**	**2.75**
Net Assets Value		**686.70**	**100.00**

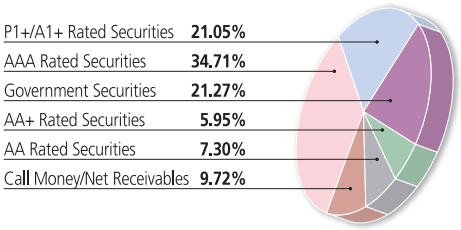
Average Portfolio Maturity - 2.89 years

✔ **Top Ten Holdings**

Maturity Profile



Credit Quality



HDFC Liquid Fund

An Open - ended Liquid Income Scheme

Investment Objective

The primary objective of the Scheme is to enhance income consistent with a high level of liquidity, through a judicious portfolio mix comprising of money market and debt instruments.

Features of the Scheme

Nature of the Scheme	Open- ended Liquid Income Scheme
Inception Date (Date of allotment)	October 17, 2000
Entry Load	Nil
Exit Load	Nil
Lock-in period	Nil
Minimum Investment	Rs. 1,00,000 & in multiples thereof under each Plan.
Investment Plan Options	Growth & Dividend Reinvestment
Dividend Frequency	Weekly* (Record date - Monday)
NAV	Every Business Day
Liquidity	Sales/Repurchases at NAV based prices on every Business Day.
Redemption proceeds	Despatched normally within 2 Business Days (1 Business Day subject to certain conditions)
Tax Benefits	Income distributed is exempt from income tax in the hands of the investors. Units of the Scheme are not subject to Wealth Tax & Gift Tax.

* Actual declaration of dividend and the frequency will depend on the availability of distributable profits. The decision of the Trustee in this regard shall be final.

NAVs at a Glance

	Oct. 18, 2000	Nov. 30, 2000	Dec. 30, 2000
NAV per unit (Rs.)			
Growth Plan	10.0035	10.1099	10.1828
Dividend Reinvestment Plan	10.0035	10.0072	10.0118

Portfolio (as on December 30, 2000)

	Rating	Market/Fair Value of Investments (Rs. in Cr.)	As a % of NAV
Debentures			
GE Capital Services India Ltd.	AAA	15.00	7.72
Mahindra & Mahindra Financial Services Ltd.	P1+	5.00	2.58
Sub-Total		**20.00**	**10.30**
Government Securities			
91 T-Bill Maturing 29/1/01		9.87	5.08
182 T-Bill Maturing 4/1/01		4.97	2.56
91 T-Bill Maturing 15/1/01		4.95	2.55
91 T-Bill Maturing 22/1/01		4.94	2.54
364 T-Bill Maturing 29/11/01		4.56	2.35
Sub-Total		**29.29**	**15.08**
Commercial Paper			
ICICI Ltd.	P1+	14.62	7.53
Tata Chemicals Ltd.	P1+	9.76	5.02
Cholamandalam Investement and Finance Co. Ltd.	P1+	9.74	5.01
Mahindra & Mahindra Financial Services Ltd.	P1+	7.78	4.01
Sun Pharmaceuticals Industries Ltd.	P1+	4.94	2.55
Dabur India Ltd.	P1+	4.92	2.53
Telco Ltd.	P1+	4.92	2.53
GE Capital Services India Ltd.	P1+	4.90	2.52
Citicorp Maruti Finance Ltd.	P1+	4.89	2.52
ACC Ltd.	P1+	4.88	2.51
BPL Ltd.	P1+	4.73	2.44
Sub-Total		**76.08**	**39.17**
Call Money		**66.43**	**34.19**
Net Receivables/(Payables)		**2.44**	**1.26**
Net Assets Value		**194.24**	**100.00**

Average Portfolio Maturity - 29 Days

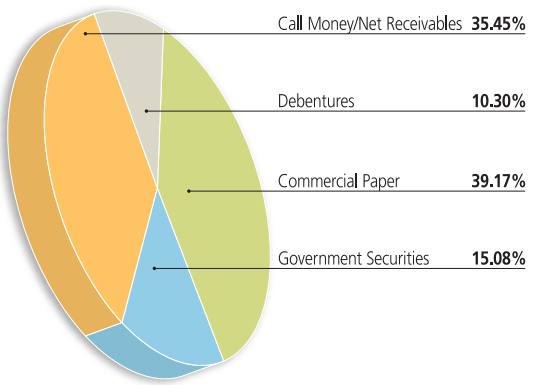
Dividend History * (Dividend Reinvestment Plan)

Weekly Dividend

Record Date	NAV (Rs.) Cum Dividend	Dividend (Rs.)
23-Oct-00	10.0151	0.01227 per unit
30-Oct-00	10.0166	0.01246 per unit
06-Nov-00	10.0185	0.01486 per unit
13-Nov-00	10.0209	0.01582 per unit
20-Nov-00	10.0187	0.01486 per unit
27-Nov-00	10.0177	0.01437 per unit
04-Dec-00	10.0159	0.01294 per unit
11-Dec-00	10.0172	0.01361 per unit
18-Dec-00	10.0158	0.01295 per unit
26-Dec-00	10.0202	0.01589 per unit

* Past performance may or may not be sustained in the future. All Dividends are on the face value of Rs. 10 per unit.

Asset Breakup



HDFC Children's Gift Fund

We propose to launch the HDFC Children's Gift Fund (an Open-ended Balanced Scheme) subject to regulatory approvals.

The features and the launch date will be shortly posted on our website.

Trading in Derivatives

The Scheme(s) intend to use derivatives mainly for the purpose of hedging and portfolio balancing. The value of derivative contracts outstanding will be limited to 20% of the Scheme(s) net assets. For details, please refer the respective offer documents.

Client Servicing

We'd like to be in touch !! You can now….

- avail complete services at our new Investor Service Centre in Nashik.
- use our website **www.hdfcfund.com** for a host of information and feedback.
- send us your email IDs for more frequent interaction.
- subscribe on our website for daily NAVs by email.
- call us on our **24 hour Ask Me NAV Hotline** in select cities.
- use the toll free facility for Client Services assistance (in Mumbai).

We propose to commence Investor Service Centre facilities at Bhubaneswar, Kanpur and Panjim, besides other locations.

Also introducing …… a facility for investors to download application forms for the HDFC Tax Plan 2000. Download facility for other schemes will be available shortly.

Standard Life Investments Limited

As per the Joint Participation Agreement dated October 29, 1999, entered between HDFC and Standard Life Investments Limited, HDFC has agreed to sell to Standard Life Investments or to any of its associates, 26% of the paid up share capital of the AMC after the expiry of a period of 12 months, but before the expiry of 16 months (such period being at the discretion of HDFC) from the date of allotment of shares by the AMC to HDFC, subject to conditions precedent as described in the Joint Participation Agreement dated October 29, 1999. In terms of the said agreement under certain circumstances, Standard Life Investments shall be entitled to increase its holding in the AMC above 26% of the paid up share capital of the AMC.

HDFC TAX PLAN 2000

HDFC Tax Plan 2000 opened for **initial subscription on December 26, 2000 and closed on December 27, 2000**. The scheme reopens for ongoing sales from **January 2, 2001** at NAV based prices. The primary objective of the Scheme is to generate long term capital appreciation from a portfolio that is invested predominantly in equity and equity related instruments. **The Scheme will have no Entry Load upto March 30, 2001.**

Key features of the Scheme are: -

Type of Scheme	Open-ended Equity Linked Savings Scheme
Tax Benefit (Individuals & HUF)	Subject to certain conditions as may be prescribed under Sec. 88 of the Income-Tax Act, 1961, subscriptions not exceeding Rs. 10,000 would be eligible to a deduction, from income tax, of an amount equal to 20% of the amount subscribed.
Investment Pattern	80% Equity and equity related & 20% Debt and Money Market.
Minimum Investment	Rs. 500 and in multiples thereof.
Investment Plans	Growth and Dividend
Lock-in period	3 years from the date of allotment
Entry Load	Nil (Till 30th March, 2001)
Exit Load	Nil
Systematic Investment Plan	Initial investment of Rs.500 and postdated cheques of Rs.500 each.
Systematic Withdrawal Plan	Available after completion of Lock-in period

Fund People

Milind Barve

Managing Director

Professional Experience

1984 - 2000 : HDFC Ltd.

1983 -1984 : Bajaj Auto Ltd.

Milind has been an ace badminton player and has represented the State of Maharashtra in the game. He likes listening to Hindi music.

Email - milind@hdfcindia.com

Educational Qualification

B.Com., A.C.A

Sanjoy Bhattacharyya

Chief Investment Officer

Professional Experience

1999 - 2000 : Management Structure & Systems Ltd.

1995 - 1998 : Swiss Bank Corporation

1993 - 1994 : Management Structure & Systems Ltd.

1991 - 1993 : ICRA

1988 - 1991 : CRISIL

Sanjoy greatly enjoys playing bridge. His other hobbies include reading non-fiction and listening to Hindustani classical music.

Email - sanjoyb@hdfcindia.com

Educational Qualification

B.Sc. (Statistics), PGDBA,
IIM - Ahmedabad

Hitungshu Debnath

Vice President - Marketing & Sales

Professional Experience

1998 - 2000 : Alliance Capital Asset Management (India) Pvt. Ltd.

1994 - 1998 : Fortress Financial Services Ltd.

1992 - 1994 : Times Guaranty Financial Ltd.

1989 - 1991 : First Leasing Company of India Ltd.

An avid music lover, he follows Blues and Classic rock very passionately. When not at work he loves spending time with his family and surfing the net.

Email - hitungshud@hdfcindia.com

Educational Qualification

B.Opt., PGDM

Vijai Mantri

Vice President - Sales & Distribution

Professional Experience

1993 - 2000 : Birla Global Finance Ltd.

Vijay, is a fitness freak. He loves to listen to Hindi music and excels in Urdu Poetry.

Email - vijaim@hdfcindia.com

Educational Qualification

B.Com., ACA

Fund People

John Mathews

Head - Client Services

Professional Experience

1997 - 2000 : HDFC Ltd.
1997 : Weizmann Ltd.
1996 - 1997 : Wall Street Finance Ltd.
1986 - 1996 : HDFC Ltd.

John loves English country music and reading. He's a keen follower of cricket and enjoys quizzing, travelling and surfing the net.

Email - jmathews@hdfcindia.com

Educational Qualification

B.Com., PGDSM

V. Suresh Babu

Head - Operations

Professional Experience

1996 - 2000 : Sundaram Newton AMC Ltd.
1991 - 1996 : Canbank Investment Management Services Ltd.
1988 - 1991 : Canara Bank

Suresh is a keen sports buff, loves travelling & movies.

Email - sureshv@hdfcindia.com

Educational Qualification

B.Com., Grad.CWA

Iqbal Jugari

Company Secretary
& Compliance Officer

Professional Experience

1999 - 2000 : Zurich AMC Pvt. Ltd.
1995 - 1999 : ITC Threadneedle AMC Ltd.
1988 - 1995 : Stock Holding Corporation of India Ltd.

Iqbal is a god fearing and a family centric person. He loves listening to old Hindi songs and closely follows cricket.

Email - iqbalj@hdfcindia.com

Educational Qualification

B.Com., MBA., L.L.B., FCS

Rahul Bhandari

Chief Financial Officer

Professional Experience

1996 - 2000 : Citicorp Brokerage (India) Ltd.
1996 - 2000 : Citicorp Finance (India) Limited
1996 : Citicorp Securities & Investments Ltd.

This maverick, young achiever likes to listen to music when not occupied with work. An extrovert by nature, he likes to be in the company of his family members as also with friends.

Email- rahulb@hdfcindia.com

Educational Qualification

B.Com., ACA, ACS

Investor Service Centres (ISCs)

Ahmedabad
HDFC LIMITED
HDFC House, Near Mithakhali
Six Roads, Navrangpura
Ahmedabad 380 009
Tel : 079 - 656 0806, 656 0859
Fax : 079 - 656 3379

Bangalore
HDFC LIMITED
HDFC House,2nd floor
No. 51, Kasturba Road,
Bangalore 560 001
Tel : 080 - 2998575, 2219473
Fax : 080 - 227 5754

Kolkata
HDFC LIMITED
Cooke and Kelvey Building
1st Floor,
20 Old Court House St.,
Kolkata 700 001
Tel : 033 - 248 1981, 248 1327
Fax: 033 - 248 9755

Chennai
HDFC LIMITED
ITC Centre, 2nd Floor,
760, Anna Salai,
Chennai 600 002
Tel : 044 - 855 3838, 8510599
Fax: 044 - 855 3372

Coimbatore
HDFC LIMITED
HDFC House,
29, Kamaraj Road,
(Near Circuit House)
Coimbatore 641 018
Tel : 0422 - 210 735, 211 262
Fax: 0422 - 216 530

Chandigarh
HDFC LIMITED
SCO 343-344, Near Khyber
Restaurant, Sector 35-B,
Chandigarh 160 022
Tel : 0172 - 603 717, 603 880/81
Fax: 0172 - 603 855

Hyderabad
HDFC LIMITED
101, Moghul's Court,
Near Deccan Towers,
Basheer Baug,
Hyderabad 500 001
Tel : 040 - 323 3875 / 323 7964
Fax: 040 - 324 3348

Indore
HDFC LIMITED
Silver Mall, 1st Floor,
8-A, R.N.T Marg, Indore 452 001
Tel : 0731 - 522001, 522002
Fax: 0731 - 513 784

Jaipur
HDFC LIMITED
O-19A, Ashok Marg, C-Scheme,
Jaipur 302 001
Tel : 0141 - 363 895, 377 171/2/3
Fax: 0141 - 367 699

Kochi
HDFC LIMITED
HDFC House
Post Bag No. 1667
Ravipuram Junction
M.G. Road, Kochi 682 015
Tel : 0484 - 382 325, 382 402
Fax : 0484 - 371 863

Lucknow
HDFC LIMITED
Second Floor,
Hindustan Times House,
25 Ashok Marg,
Lucknow 226 001
Tel : 0522 - 205 813/14
Fax: 0522 - 205 106

Mumbai
HDFC LIMITED
Mistry Bhavan
122, Backbay Reclamation
Dinsha Vachha Road
Churchgate, Mumbai - 400 020
Tel : 022 - 282 0282, 2316000
Fax :022 - 282 1366.

Parel *
HDFC LIMITED
Damodar Hall Annexe Bldg.,
Near Social Service League
Dr. Ambedkar Road,
Parel, Mumbai - 400 012
Tel : 022 - 413 7497
Fax: 022 - 4150884

Andheri *
HDFC LIMITED
Rajgir Chambers, 2nd Floor,
Old Nagardas Road,
Andheri (East),
Mumbai - 400 069
Tel : 022 - 825 0048/49/50
Fax: 022 - 825 0047

Navi Mumbai *
HDFC LIMITED
Plot No.82, Sector 17,
Vashi, Navi Mumbai - 400 705
Tel : 022 - 790 5203/04
Fax: 022 - 790 5208

Thane *
HDFC LIMITED
Manjula Arcade,
First Floor, Gokhale Road,
Near Ice Factory,
Thane (West) 400 602
Tel : 022 - 545 1114/15/16
Fax : 022 - 533 1178

Nagpur
HDFC LIMITED
90 Canal Road, 2nd Floor,
Ramdaspeth,
Nagpur 440 010
Tel : 0712 -554395, 522 691
Fax: 0712 - 522 690

Nashik *
HDFC LIMITED
HDFC House
Sharanpur Link Road
Nashik 422005
Tel:0253 - 571492/3, 578840
Fax: 0253-570256

New Delhi
HDFC LIMITED
HDFC House
B-6/3, Safdarjung Enclave
DDA Commercial Complex
(Opp. Deer Park)
New Delhi 110 029
Tel : 011 -6167499, 610 3146 / 1978 (Ext. 211)
Fax : 011- 619 4617

Pune
HDFC LIMITED
HDFC House, 1500 Shivaji Nagar
University Road, Pune 411 005
Tel : 020 - 553 5615, 4006673/74
Fax : 020 - 553 6213/0868

Vadodara
HDFC LIMITED
World Trade Centre, 1st Floor,
Sayaji Gunj, Vadodara 390 005
Tel : 0265 - 361 926, 361 807
Fax : 0265 - 363 290

Visit us at : www.hdfcfund.com

HDFC Asset Management Company Limited
In association with Standard Life Investments U.K.

* *Except for HDFC Liquid Fund.*

Registered Office: Ramon House, 3rd Floor, H. T. Parekh Marg, 169, Backbay Reclamation, Churchgate, Mumbai 400 020. Tel: 022 - 2316030, 2029111 Fax: 022 - 2028862

Risk Factors: Mutual Funds and securities investments are subject to market risks and there can be no assurance or guarantee that the Scheme(s) objectives will be achieved. As with any investment in securities, the Net Asset Value of Units issued under the Scheme(s) may go up or down depending on the various factors and forces affecting the capital markets. Past performance of the Sponsor/Mutual Fund and its affiliates does not indicate the future performance of the Scheme(s) of the Mutual Fund. The Sponsor is not responsible or liable for any loss or shortfall resulting from the operations of the Scheme(s) beyond the initial contribution of Rs. 1 lakh made by it towards setting up of the Mutual Fund. HDFC Growth Fund, HDFC Balanced Fund, HDFC Income Fund and HDFC Liquid Fund are the names of the Scheme(s) and do not in any manner indicate either the quality of the Scheme(s) or their future prospects and returns. Investors in the Scheme(s) are not being offered any guaranteed/assured returns. Please call any of the Investor Service Centres (ISC's) and obtain a copy of the respective Offer Documents and read the same carefully before investing. **Statutory Details:** HDFC Mutual Fund has been set up as a trust by Housing Development Finance Corporation Limited (liability restricted to the initial corpus of Rs.1 lakh) with HDFC Trustee Company Limited as the trustee (Trustee under the Indian Trusts Act, 1882) and with HDFC Asset Management Company Limited as the Investment Manager. Applications would be accepted at ISCs and on-going Redemptions can be made at the ISCs on all Business Days. The AMC will calculate and publish NAVs and offer sales and Redemptions of Units at NAV based prices on all Business Days.

(December 30, 2000 was not a Business Day)

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